THE UNIVERSITY OF HONG KONG
FACULTY OF BUSINESS AND ECONOMICS

MFIN7049 Money, Financial Institutions and Markets

GENERAL INFORMATION

Instructor: Professor Xuewen Liu, FBE

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Office: Room 823, KKL building
Phone:
Consultation times: Monday 1:30-2:30 PM

Tutor: Class administration: Eliza Xiang (nanx@hku.hk)
Academic support: Peidi Chen (pdchen@connect.hku.hk)

Pre-requisites: MFIN7002 Investment analysis and portfolio management

COURSE DESCRIPTION

This is an advanced course on financial system. The course aims to enable students to have a big-picture view and a deep understanding on how the financial system operates. Financial investors and corporate managers make decisions within a large, interlinked, complex financial system. This system includes many players with different preferences, many financial instruments with different payoff structures, many financial contracting designs with different rules. A financial practitioner or researcher needs to have working knowledge on the operation of the financial system. Understanding the operation of the financial system is also crucial for understanding some extreme events in financial markets (e.g., financial crises, market crashes); indeed, those extreme events, occurring within a very short investment time period, are responsible for a large portion of the realized returns of financial market investments.

This course is comprehensive, mixing institution, history, and economic theory.

Part 1: Institution

The first part of the course reviews institutional details and describes broad empirical regularities.

Major players and their functions: Treasury departments, central banks, commercial banks, investment banks, hedge funds, mutual funds, primary dealers, inter-dealer brokers (IDB), rating agencies, and buy-side institutions (such as pension funds and insurance companies), etc.

Financial markets and products: money markets, bond markets, stock markets, repo markets, commercial paper (CP) markets, asset-backed securities (ABS), wholesale funding markets, derivatives (such as futures, options, forwards, swaps), etc.

Stylized facts and empirical evidence: VIX and stock-market behavior, money market spreads, term premium & slope of yield curve, credit spreads over business cycles, mortgage prepayments, swap spreads, etc.

Part 2: History

The second part first covers the evolution of financial institutions and the developments of the financial sector, e.g., the origin of commercial banks and central banks, the change of the organization structure of investment banks, the rise of shadow banks, the evolution of the international monetary system.

The second part in particular examines some major financial crises and bubbles & crashes in the modern history, including the Great Depression in the 1930s, the stock market crash of 1987, the savings and loan (S&L) crisis, the LTCM crisis, the Dot-com bubble and crash, the global financial crisis in 2007-2009, the Chinese stock market crash in 2015. The course discusses the causes of and the regulatory responses to these events.

Part 3: Theory

The third part is the main focus of the course. This part discusses various fundamental economic theories to explain the operation of the financial system and the causes of the bubbles and crashes.

The topics and classic models to present include:

- How central banks conduct monetary policy (outside money)
- How financial institutions create liquidity (inside money)
- How a financial price aggregates dispersed information of investors (market efficiency and price efficiency)
- Creditor (bank) runs and market runs
- Marking-to-market frictions
- Knightian uncertainty and ambiguity aversion
- Market liquidity and funding liquidity
- Keynesian "beauty contest" game and higher order beliefs

COURSE OBJECTIVES

1. To enable student to have a big-picture view on the financial system while being familiar with the institutional details of financial markets, financial institutions, and financial instruments.
2. To provide students the historic perspective on the evolution of the financial system and the causes of major financial crises and market bubble and crashes.
3. To equip students with theoretical frameworks to understand and explain complex phenomena in financial markets
4. To develop students' ability to use rigorous analytic frameworks to look into economic activities and investment behaviors

Programme Learning Outcomes

PLO1. Acquisition of techniques and advanced knowledge in interdisciplinary fields between finance and other appropriate disciplines including but not limited to engineering, law and mathematics

PLO2. Application and integration of knowledge and skills in finance and relevant interdisciplinary fields to identify and tackle practical problems, and design innovative products and systems with international standards and global vision

PLO3. Inculcating leadership, professional ethics and competence in finance and relevant interdisciplinary fields

PLO4. Mastering communication skills

COURSE LEARNING OUTCOMES

Course Learning Outcomes	Aligned Programme Learning Outcomes

CLO1 Acquisition of knowledge on institutional details of the financial system	PLO 2
CLO2 Acquisition of advanced knowledge on economic history and economic theory	PLO 1, 2
CLO3 Application of the quantitative and analytical skills to tackle practical problems	PLO 3, 4
CLO4 Demonstrate effective communication skills	PLO 4

COURSE TEACHING AND LEARNING ACTIVITIES

Course Teaching and Learning Activities	Expected contact hour	Study Load (% of study)
T&L1. Lecture with interactive presentation	36	25
T&L2. Tutorial and e-forum discussions	20	14
T&L3. Assignment: review questions of finance theories	50	34
T&L4. Self study	40	27
Total	146	100%

Assessment Methods	Brief Description (Optional)	Weight	Aligned Course Learning Outcomes
A1. Class participation	Full attendance of the lectures and active participation of class discussions	10 %	CLO 1, 2, 3, 4
A2. Assignments	Individual work; detailed instructions will be given in due course	20 %	CLO 1, 2, 3, 4
A3. Project and presentation	Group work; write a report and present in the last class	20 %	CLO 1, 2, 3, 4
A4. Final exam	Closed book Detailed instructions will be given in due course	50 %	CLO 1, 2, 3, 4
	Total	100%	

STANDARDS FOR ASSESSMENT

Course Grade Descriptors

A+, A, A-	Strong evidence of superb ability to fulfill the intended learning outcomes of the course at all levels of learning: describe, apply, evaluate and synthesis.
B+, B, B-	Strong evidence of ability to fulfill the intended learning outcomes of the course at all levels of learning: describe, apply, evaluate and synthesis.
C+, C, C-	Evidence of adequate ability to fulfill the intended learning outcomes of the course at low levels of learning; such as describe and apply, but not at high levels of learning such as evaluate and synthesis.
D+, D	Evidence of basic familiarity with the subject.

F	Little evidence of basic familiarity with the subject.

Assessment Rubrics for Each Assessment (Please provide us the details in a separate file if the space here is not enough)

Based on the rules of the university and the faculty.

COURSE CONTENT AND TENTATIVE TEACHING SCHEDULE

REQUIRED/RECOMMENDED READINGS & ONLINE MATERIALS (e.g. journals, textbooks, website addresses etc.)

Required readings:

1. Economics of Money, Banking and Financial Markets (12th Edition), by Frederic S. Mishkin

2. Lecture notes

3. Academic journal articles (to be distributed)

Recommended readings:

1. Fixed Income Markets and Their Derivatives (3rd Edition), by Suresh Sundaresan

2. Options, Futures, and Other Derivatives (10th Edition), by John C. Hull

3. Financial Markets and Institutions (Global Edition 8th Edition), by Frederic S Mishkin and Stanley Eakins

4. The Courage to Act: A Memoir of a Crisis and Its Aftermath, by Ben S. Bernanke

5. This Time Is Different: Eight Centuries of Financial Folly, by Carmen M. Reinhart and Kenneth S. Rogoff

MEANS/PROCESSES FOR STUDENT FEEDBACK ON COURSE

- ○ conducting mid-term survey in additional to SETL around the end of the semester
- ○ Online response via Moodle site

✓ Others: ___SETL_____ (please specify)

COURSE POLICY (e.g. plagiarism, academic honesty, attendance, etc.)

ADDITIONAL COURSE INFORMATION (e.g. e-learning platforms & materials, penalty for late assignments, etc.)

1. **Plagiarism and copying of copyright materials are serious offences and may lead to disciplinary actions. Students should read the chapters on "Plagiarism" and "Copyright" in the Undergraduate/Postgraduate Handbook for details. Students are strongly advised to read the booklet entitled "What is Plagiarism?" which was distributed upon students' admission into the University, a copy of which can be found at www.hku.hk/plagiarism. A booklet entitled "Plagiarism and How to Avoid it" is also available from the Main Library.**
2. **To avoid intellectual property and copyright infringement, and/or violation of the Personal Data (Privacy) Ordinance, DO NOT upload HKU teaching-related materials including but not limited to course materials, marking schemes, examination papers, etc. to websites. If you have done so in the past, you are asked to take steps to take down relevant materials immediately.**